Illustrations by **SIDDHANT JUMDE**

who feel they missed the opportunity to participate because they did not have it in them to stay invested.

Fear is a powerful force, especially when reading a headline like 'Sensex loses 1,000 points in a day'. What one misses is that there is often a context to such an outcome. Yes, a 1,000-point drop sounds like a big number, but it is about 1-1.5 per cent of the index at current levels. In other words, the market has grown so much over time that point drops are less significant than they seem. But headlines are often eye-catching when they report raw numbers, not percentages. Raw numbers bring in the drama and the emotion, and make people take short-sighted and emotional moves.

WHILE THE INDIAN MARKETS DID NOT WITNESS GREAT DROPS, THERE WAS TURBULENCE. IT WORRIED MANY INVESTORS

Behavioural finance challenges the assumption that individuals make decisions in a rational and self-interested manner because, in reality, emotional and psychological factors play a significant role in shaping financial decisions. Leading psychologists Daniel Kahneman and Amos Tversky have studied, evaluated and written extensively on the psychological aspects of decision-making, particularly how people evaluate and choose between different options involving investing. In the following pages, we will be throwing light on the seven deadly—or cardinal—sins, which represent fundamental tendencies that can lead to a moral failure in investing.

1 LUST: INTENSE DESIRE

How often have you desired that one investment idea that would double or quadruple your money? The investment world is full of buzzwords and trends that can make anyone feel like they're missing out on the "next big thing". FOMO can lead to lust and impulsive decisions. It can also lead you to make riskier choices than you might otherwise make.

Hype-driven investing often capitalises on emotions rather than sound finan-